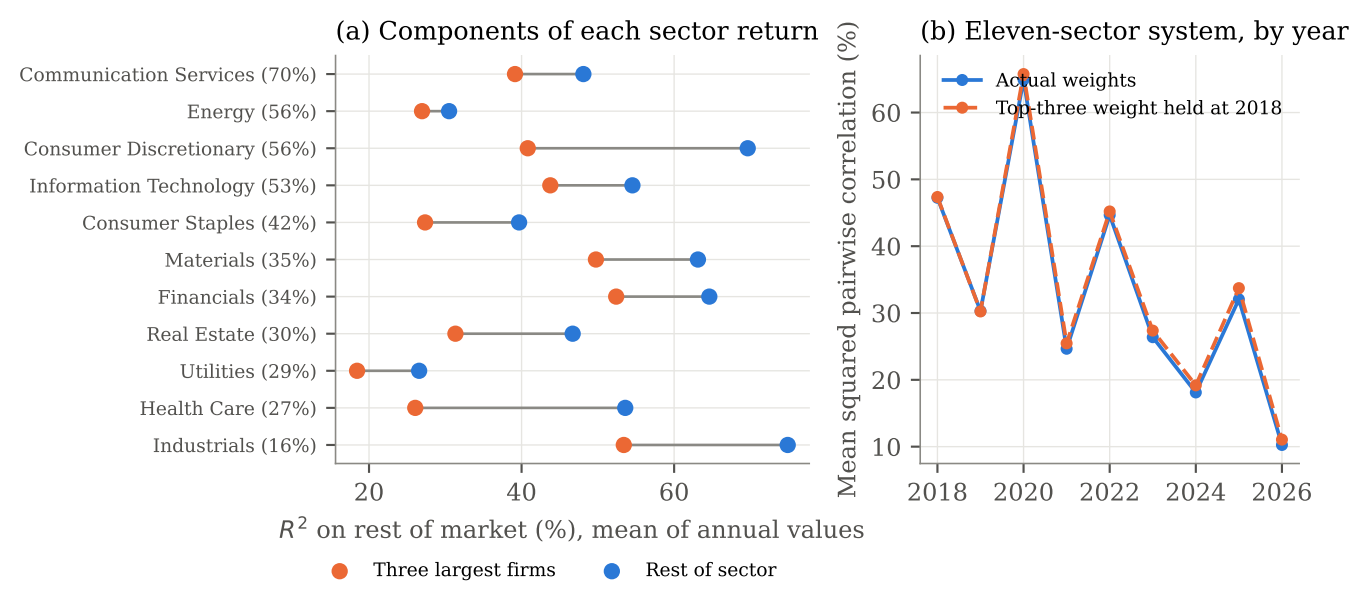
(a) Components of each sector return
Communication Services (70%)
Energy (56%)
Consumer Discretionary (56%)
Information Technology (53%)
Consumer Staples (42%)
Materials (35%)
Financials (34%)
Real Estate (30%)
Utilities (29%)
Health Care (27%)
Industrials (16%)
20
40
60
R^2 on rest of market (%), mean of annual values
Three largest firms
Rest of sector
(b) Eleven-sector system, by year
Mean squared pairwise correlation (%)
Actual weights
Top-three weight held at 2018
10
20
30
40
50
60
2018
2020
2022
2024
2026